ARBITRATION ACT, 2055 (1999)

Act No. 1 of the year 2056

(Unofficial Translation)

	Particulars	Date (BS)
	Date of Royal Seal and Publication	2056.1.2
	Acts amending this Act:	
1	Act Amending Some Nepal Acts, 2064	2064.05.09
2	Republic Strengthening and Some Nepal Laws Amendment Act, 2066[1]	2066.10.07
3	Act Amending Some Nepal Acts relating to Improvement of the Economic and Business Environment and Enhancement of Investment, 2081	2081.12.18
4	Act Amending Some Nepal Acts, 2082	2082.04.14

[2].....

An Act Made to Provide for Legal Provisions Relating to Arbitration

Preamble: Whereas, it is expedient to make the prevailing legal provisions relating to arbitration timely;

Now, therefore, be it enacted by Parliament in the Twenty-seventh year of the reign of His Majesty King Birendra Bir Bikram Shah Dev.

[1]This Act came into force from 15 Jestha 2065.

[2]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

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Chapter-1
Preliminary

1. Short Title and Commencement:–

(1) This Act shall be called the "Arbitration Act, 2055 (1999)".

(2) This Act shall come into force immediately.

2. Definitions:–

Unless the subject or context otherwise requires, in this Act,-

(a) "Agreement" means a written agreement between the parties to settle, through arbitration, a dispute — whether arising out of a contract or not — concerning any determinate legal relationship, which dispute has already arisen or may arise in the future.

Explanation: For the purposes of this clause, a written agreement shall be deemed to exist between the parties where any of the following writings exist:

(1) any contract that also contains a provision for arbitration, or any other separate agreement made in that connection;

(2) letters, telex, telegrams, telefax, or other [3]similar means of telecommunication capable of maintaining a written record, exchanged between the parties for referring a dispute to an arbitrator;

(3) where a party has submitted a claim for referring a dispute to arbitration, and the defending party has submitted its defence to that claim without denying the reference of the dispute to the arbitrator.

(b) "Party" means any party connected with the arbitration.

(c) "District Court" means, where the place of arbitration is specified in the agreement, the District Court having territorial jurisdiction over that place, and, where no such place is specified, the District Court having territorial jurisdiction over the place where the dispute arose, or where the arbitration proceedings and decision took place, or where a party ordinarily resides.

(d) "High Court" means, where the place of arbitration is specified in the agreement, the High Court having territorial jurisdiction over that place, and, where no such place is specified, the High Court having territorial jurisdiction over the place where the dispute arose, or where the arbitration proceedings and decision took place, or where a party ordinarily resides.

(e) "Dispute" means a dispute capable of being settled through arbitration under this Act.

[3]Amended by the Act Amending Some Nepal Acts, 2064.

(f) "Counter-claim" means a claim made by the defending party against the party who made the original claim.

(g) "Rejoinder" means the reply made by the claiming party against the defendant.

(h) "Arbitrator" means an arbitrator appointed for settlement of a dispute, and the term also denotes a panel of arbitrators.

Chapter-2
Settlement of Disputes through Arbitration

3. Disputes to Be Settled through Arbitration:–

(1) Where an agreement provides that a dispute shall be settled through arbitration, a dispute relating to that agreement, or to matters arising under it, shall be settled through arbitration in accordance with the procedure specified in the agreement itself, and, where no procedure is so specified, in accordance with this Act.

(2) Notwithstanding anything contained in sub-section (1), where the parties to any civil case of a commercial nature filed in a court, which is capable of settlement under the prevailing law, apply requesting that the dispute be settled through arbitration, such dispute shall also be settled through arbitration.

4. Removal of Case from the Register:–

(1) The court may order that a case relating to a dispute which is to be settled through arbitration under sub-section (2) of Section 3 be removed from its register.

(2) Notwithstanding anything contained in sub-section (1), the court shall not order removal of a case from its register in the following circumstances:-

(a) where it appears necessary to decide, together with matters capable of arbitration, matters that are not so capable; or

(b) where there exists a reasonable ground indicating that the dispute cannot be resolved through arbitration.

Chapter-3
Appointment and Office of Arbitrator

5. Number of Arbitrators:–

(1) Where the agreement specifies the number of arbitrators, it shall be as so specified; and, where it is not specified, there shall ordinarily be three arbitrators.

(2) Where the number of arbitrators appointed under an agreement is even, such arbitrators shall make the number odd by co-opting one additional person chosen by them.

6. Appointment of Arbitrator:–

(1) Except as otherwise provided in the agreement, the process of appointing an arbitrator shall be commenced within three months from the date on which the cause for settling the dispute through arbitration arises.

(2) Where the name of the person to act as arbitrator is mentioned in the agreement, the person so named shall be deemed to have been appointed as the arbitrator.

(3) Where the agreement contains any separate arrangement for the appointment of an arbitrator, the arbitrator shall be appointed accordingly.

(4) Except as otherwise provided in the agreement, each party shall appoint one arbitrator each, and the third arbitrator appointed by the arbitrators so appointed shall act as the chief arbitrator.

7. Appointment of Arbitrator by the Court:–

(1) In the following circumstances, any party may submit an application to the High Court for the appointment of an arbitrator:-

(a) where an arbitrator could not be appointed even after following the procedure specified in the agreement;

(b) where the agreement contains no provision regarding the appointment of an arbitrator.

(2) An application filed under sub-section (1) shall specify the name, surname, address, occupation, and field of expertise of at least three persons who could be appointed as arbitrator, and a copy of the agreement shall also be submitted with such application.

(3) Upon receipt of an application under sub-section (1), the High Court shall give notice to all parties, and, if all the parties concerned agree on the person to be arbitrator, shall appoint the person so proposed; and, where no agreement is reached, the High Court shall, within sixty days of receiving the application, appoint whichever person it considers suitable. The decision so rendered by the High Court shall be final.

8. Filling a Vacancy of Arbitrator in Special Circumstances:–

(1) Where an arbitrator appointed for the purpose of arbitration resigns, refuses to act as arbitrator, dies, or a vacancy otherwise arises in respect of that position for any other reason, such vacancy shall ordinarily be filled within thirty days by appointing another arbitrator following the same procedure by which the earlier arbitrator was appointed.

(2) Where a vacancy in the office of arbitrator cannot be filled within the period referred to in sub-section (1), any party may, within fifteen days of the expiry of such period, submit an application to the High Court. Upon such an application being filed, the High Court shall, ordinarily within fifteen days, appoint an arbitrator, subject to Section 7.

9. Arbitrator to Take Oath:–

(1) Before commencing the work of arbitration, the arbitrator shall sign two copies of a written oath of impartiality and integrity, in the form set out in the Schedule, and shall keep one copy with the case file and send the other copy to the High Court.

(2) Before taking the oath under sub-section (1), where there exists any matter that could give rise to a reasonable apprehension concerning the arbitrator's impartiality or independence in relation to the dispute to be resolved, the arbitrator shall bring that matter to the knowledge of the parties concerned.

10. Disqualification of Arbitrator:–

The following persons shall not be eligible to be appointed as arbitrator:-

(a) a person disqualified from entering into a contract under the prevailing law;

(b) a person sentenced by a court for a criminal offence involving moral turpitude;

(c) a person who has become insolvent or bankrupt;

(d) a person who has any interest in the subject matter of the dispute to be settled through arbitration;

(e) where a particular qualification is prescribed under an agreement for appointment as arbitrator, a person not possessing such qualification.

11. Arbitrator May Be Removed:–

(1) The circumstances and procedure for removal of an arbitrator shall be as specified in the agreement.

(2) Where the agreement does not specify such circumstances and procedure under sub-section (1), any party may, within fifteen days from the date on which it comes to know that an arbitrator has been appointed or that his/her conduct is not in accordance with this sub-section, submit an application to the arbitrator requesting removal, in any of the following circumstances:-

(a) where it clearly appears that an arbitrator has shown bias towards, or partiality in favour of, a party without acting impartially;

(b) where an arbitrator has committed improper conduct or fraud during the arbitration proceedings;

(c) where an arbitrator has repeatedly committed negligence or irregularity in matters connected with the arbitration;

(d) where an arbitrator, without reasonable cause and with the intent of unreasonably prolonging or delaying the arbitration proceedings, has failed to attend more than three meetings of the arbitrators, or has refused to take part in the proceedings of a meeting;

(e) where an arbitrator has acted contrary to the principles of natural justice or the rules thereof; or

(f) where an arbitrator lacks, or no longer possesses, the requisite qualification.

(3) Where an application is filed under sub-section (2) and the arbitrator sought to be removed does not voluntarily relinquish office, or the opposing party does not agree with the grounds on which removal is sought, the arbitrator shall decide the matter within thirty days from the date the application was filed.

(4) An appeal against a decision made under sub-section (3) shall lie to the High Court, and the order made by that Court shall be final.

12. Place Where the Arbitrator's Office Shall Be Located:–

(1) The office of the arbitrator shall be located as follows:-

(a) where the agreement specifies the place for the arbitrator's office, at that place;

(b) where the agreement does not specify such place, at the place chosen by the parties;

(c) where the parties do not choose such place within fifteen days of the appointment of the arbitrator, or fail to agree thereon, at the place designated by the arbitrator having regard to all the relevant circumstances.

(2) Notwithstanding anything contained elsewhere in this Section, except where the parties have made a different arrangement, the arbitrators may, after mutual deliberation, designate any other suitable place for examining witnesses, obtaining expert opinion, or inspecting any document, property or place.

13. Language to Be Used in Arbitration Proceedings:–

The language to be used by the arbitrator in the proceedings shall be as specified in the agreement; where not so specified, the language determined through mutual consultation between the parties; and, where such determination cannot be made, the language used in the agreement shall be the language of the arbitration proceedings.

13A. Fast-Track Arbitration Service[4]:–

Notwithstanding anything contained elsewhere in this Act, the parties may resolve a dispute by adopting a fast-track arbitration service agreed or consented to between them.

Chapter-4
Proceedings Relating to Arbitration and Powers of the Arbitrator

14. Submission of Claim, Counter-claim, Reply or Rejoinder:–

(1) Where the agreement specifies a time limit for submitting a claim, the claim shall be submitted within that period; where no such time limit is specified but only the name of

[4]Inserted by the Act Amending Some Nepal Acts relating to Improvement of the Economic and Business Environment and Enhancement of Investment, 2081.

the intended arbitrator is mentioned, the claim shall be submitted within three months from the date the dispute requiring arbitration arose, or, where the arbitrator is appointed after the dispute has arisen, within three months from the date of the arbitrator's appointment. In submitting such a claim, the party shall present, in writing, before the arbitrator its claim together with the matters in dispute and the relief sought, supported by evidence, and shall also provide a copy thereof to the other party.

(2) After a claim has been submitted under sub-section (1), except as otherwise provided in the agreement, the other party shall submit its reply to such claim within thirty days of receiving the claim.

(3) Within the period referred to in sub-section (2), the other party shall submit its reply and, if it has any counter-claim, such counter-claim as well; where a counter-claim is also submitted, the arbitrator shall allow the claimant party fifteen days to submit a rejoinder to the counter-claim, and, where such a rejoinder is submitted, a copy thereof shall be provided to the party that submitted the counter-claim.

(4) Where a party is unable to submit [5]....., reply or rejoinder within the period referred to in sub-section (2) or (3) owing to circumstances beyond its control, it may, within fifteen days from the expiry of that period, submit an application to the arbitrator, stating the reasonable cause, for an extension of time, and the arbitrator may, if it considers the cause stated in the application reasonable, grant [6]such reasonable extension as requested in the application.

(5) In submitting a claim, counter-claim, reply or rejoinder under this Section, all documents connected with the dispute, together with any evidence supporting them, shall also be submitted. Where the parties wish to have any matter proved by witnesses, they shall state the name, surname and address of such witnesses in the claim, counter-claim, reply or rejoinder, and the party concerned shall itself produce such witnesses before the arbitrator on the date fixed by the arbitrator.

(6) Under this Act, each party shall provide the other party with a copy of the documents filed with the arbitrator in connection with the arbitration proceedings.

(7) [7]Where an officer representing a government office fails to submit a claim, counter-claim, reply, or rejoinder to the arbitrator within the period specified under sub-section (1), (2) or (3), or submits it late, or acts negligently in that regard, departmental action shall be taken against such officer under the prevailing law relating to his/her conditions of service; and, where such act also amounts to an offence under the prevailing law, action shall be taken for such offence as well.

[5]Omitted by the Act Amending Some Nepal Acts, 2064.
[6]Amended by the Act Amending Some Nepal Acts, 2064.
[7]Inserted by the Act Amending Some Nepal Acts, 2082.

15. Circumstances in Which Arbitration Proceedings Shall Be Terminated or Continued:–

Except as otherwise agreed by the parties, arbitration proceedings shall be terminated or continued in the following circumstances:-

(a) where the claimant fails to submit a claim within the period referred to in sub-section (1) of Section 14, the arbitration proceedings shall be terminated;

(b) where a reply is not submitted within the period referred to in sub-section (2) of Section 14, it shall not, for that reason alone, be deemed that the defendant has accepted the claimant's claim by not submitting a counter-claim, and the arbitrator shall continue its proceedings, evaluating the claimant's claim and the evidence submitted in support thereof;

(c) where a party fails to appear at a hearing fixed by the arbitrator or fails to file its documentary evidence, the arbitrator may render its decision on the basis of the evidence presented, and a copy of such decision shall also be sent to the party that failed to submit its reply.

16. Arbitrator May Determine Its Own Jurisdiction:–

(1) Where a party wishes to contend that the arbitrator lacks jurisdiction to resolve a dispute submitted to it, or that the contract from which the dispute arose is unlawful, void, or ineffective, that party may raise such a plea before the arbitrator, and the arbitrator shall, before commencing the proceedings entrusted to it, decide the question of jurisdiction or the validity or effect of the contract.

(2) A party dissatisfied with a decision made under sub-section (1) may, within thirty days from the date of the decision, submit an application to the High Court, and the decision rendered by the High Court on the matter shall be final.

(3) For the purpose of deciding, under sub-section (1), the validity or effect of a contract, where a contract contains a provision for settlement of disputes through arbitration and such provision constitutes an integral part of that contract, such arbitration provision shall be treated as a separate agreement; and, even though the arbitrator decides that the contract is void, invalid, or ineffective, the arbitration provision shall not, for that reason alone, be deemed to be legally void, invalid, or ineffective.

(4) After the expiry of the period for submitting a reply under sub-section (2) of Section 14, a claim under sub-section (1) may not be made.

(5) A party shall not be deemed to have been deprived of making a claim under sub-section (1) merely because it appointed an arbitrator on its own behalf, participated in the appointment of an arbitrator, or consented to the appointment of an arbitrator.

(6) Until an application filed with the High Court under sub-section (2) is finally disposed of by that Court, it shall not be deemed to obstruct the arbitrator from continuing its proceedings and rendering a decision.

17. Procedure to Be Followed by the Arbitrator:–

(1) The procedure to be followed by the arbitrator in deciding a dispute shall be as specified in the agreement, and, where not so specified, shall be as provided under this Act.

Provided that, in respect of any procedure not provided for under this Act, it shall be as determined by the arbitrator with the consent of the parties, and, where there is no such consent, as determined by the arbitrator itself.

(2) After the claim, reply, counter-claim, or rejoinder required to be submitted to the arbitrator have been submitted, the arbitrator shall commence the arbitration proceedings without delay.

(3) The parties shall be informed as to what proceedings relating to arbitration will be conducted on what date and at what time, and a record of the giving of such information shall be maintained in the relevant file.

(4) In a dispute where there are three or more arbitrators, other proceedings of arbitration, except the making of a decision or issuance of a final order, may be conducted by the arbitrators present.

(5) Where a party, notwithstanding having received information under sub-section (3), fails to be present on the date and time fixed for arbitration proceedings, the arbitrator may nevertheless continue the proceedings and render its decision on the basis of the available evidence.

(6) After the hearing before the arbitrator has concluded, the arbitrator shall pass an order declaring the hearing closed and keep a record thereof in the file, after which no further evidence shall be received from the parties nor shall any further hearing be conducted.

(7) Except as otherwise provided in the agreement, the arbitrator shall ordinarily pronounce its written decision within thirty days of the order passed under sub-section (6).

18. Substantive Law to Be Applied by the Arbitrator:–

(1) Except as otherwise provided in the agreement, the substantive law to be applied by the arbitrator shall be the law of Nepal.

(2) Only where the parties have expressly authorised it may the arbitrator resolve the dispute in accordance with the principles of justice and good conscience (ex aequo et bono) or as amiable compositeur.

(3) Notwithstanding anything contained elsewhere in this Section, the arbitrator shall resolve the dispute in accordance with the terms of the contract concerned and, in doing so, shall also have regard to the trade usages applicable to the transaction concerned.

19. Arbitration Hearing to Be Conducted in Private:–

Except where the parties otherwise desire, the hearing of arbitration proceedings shall be conducted in private.

20. Notice and Service of Process:–

(1) Notwithstanding anything contained in the prevailing law, where it becomes necessary to serve any notice relating to the arbitration, or notice of a hearing to be held by the arbitrator, or any process or notice relating to a dispute pending before the arbitrator, upon a party residing within Nepal [8]..... or outside Nepal [9]....., then, except as otherwise provided in the agreement, such process or notice may be served by delivering it directly to the party concerned, or, where the agreement mentions an address such as telex, telefax, telegram, or other [10]similar means of telecommunication capable of maintaining a written record, or where, after conclusion of the agreement, the parties have provided such an address to each other or to the arbitrator, by sending it to such address. Where no such means of communication or address has been provided, service shall be effected at the place of business of the party concerned or at his/her place of permanent residence. Notice or service so given shall be deemed to have been duly effected.

Provided that, where such process or notice is sent by post, it shall be sent by registered post.

(2) Notwithstanding anything contained in sub-section (1), this provision shall not adversely affect the proceedings of a court.

21. Powers of the Arbitrator:–

(1) Except as otherwise provided in the agreement, the arbitrator shall have the following powers:-

(a) to require the parties to appear before it, to require the production of documents, and to record statements as necessary;

(b) to have witnesses examined;

(c) to appoint an expert on any specific matter, cause an inquiry to be made, or obtain his/her opinion;

(d) where a party is a foreign national and there is a possibility that the decision it renders may not be enforceable, to take a bank guarantee or other appropriate security as fixed by the arbitrator;

(e) at the request of a party, or on its own initiative where it considers appropriate, to inspect a place, goods, structure, production process, or other related matter

[8]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.
[9]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.
[10]Amended by the Act Amending Some Nepal Acts, 2064.

connected with the dispute, and, in the case of perishable or degradable goods, to sell them after consultation with the parties and hold the proceeds in deposit;

(f) to exercise any specific power conferred by the parties;

(g) to issue a preliminary order, or, at the request of a party, an interim order or interlocutory order in connection with any matter relating to the subject-matter of the dispute, or to render a conditional decision;

(h) to provide a certified copy of a document;

(i) to exercise any other power conferred by this Act.

(2) A party dissatisfied with an order issued by the arbitrator under clause (g) of sub-section (1) may, within fifteen days, submit an application to the High Court, and the decision rendered by the High Court thereon shall be final.

22. Equal Opportunity to Be Given to the Parties:–

(1) In arbitration proceedings, each party shall, subject to this Act, be given adequate and equal opportunity to present its case.

(2) In arbitration proceedings, a party may appear in person or through its representative, and may also engage a legal practitioner on its behalf.

23. Assistance of the Court May Be Obtained to Take Evidence:–

Notwithstanding anything contained in the prevailing law, where the arbitrator requires the assistance of a court to take evidence in connection with a dispute pending before it, the arbitrator may, either on its own initiative or at the request of a party, request such assistance from the District Court, and, upon such a request being made, the District Court shall render assistance in taking evidence in accordance with the prevailing law.

Chapter-5
Decision of the Arbitrator and Its Enforcement

24. Period Within Which the Decision Must Be Made:–

Except as otherwise specified in the agreement, and subject to sub-section (7) of Section 17, the arbitrator shall ordinarily render its decision within one hundred and twenty days from the date on which the documents referred to in Section 14 are submitted to it.

25. Circumstances in Which a Decision Shall Not Be Given:–

(1) Where the matter to be arbitrated is inseparably connected with a matter on which the arbitrator is not empowered to decide, the arbitrator shall not render a decision on such matter.

(2) Where a situation arises under sub-section (1) in which a decision cannot be given, the arbitrator shall give notice thereof to the parties concerned.

(3) Notwithstanding anything contained in the prevailing law, the party concerned may, within thirty-five days from the date of receiving notice under sub-section (2), file an appeal in court.

26. Decision of the Arbitrator:–

(1) Where there are three or more arbitrators, the opinion of the majority shall be deemed to be the decision of the arbitrators.

(2) Where the opinions of the arbitrators differ and a majority cannot be arrived at, except as otherwise provided in the agreement, the opinion of the chief arbitrator shall be deemed to be the decision of the arbitrator.

(3) Subject to sub-section (4), every arbitrator shall sign the decision.

Provided that, where an arbitrator has any reason for being unable to sign the decision, the remaining arbitrators shall sign it, stating such reason.

(4) An arbitrator who is unable to agree with the decision may express a dissenting opinion.

27. Matters to Be Specified in the Decision:–

Except as otherwise specified in the agreement, the arbitrator shall clearly specify the following matters in its decision:-

(a) a brief description of the matter submitted for arbitration;

(b) where a party has raised a question concerning the jurisdiction of the arbitration, the grounds on which jurisdiction is held to exist;

(c) the finding of the arbitrator and the reasons and grounds for arriving at such finding;

(d) the compensation or damages, or amount, to be paid;

(e) in respect of the amount to be paid as compensation, the rate of interest accruing [11]up to the day preceding the date on which the process for appointing the arbitrator commenced, and the rate of further interest to accrue after the expiry of the period referred to in Section 31 if the decision is not implemented within that period;

(f) the place and date of the arbitration decision.

28. Decision to Be Pronounced:–

The arbitrator shall read out and pronounce its decision before the parties, provide one copy thereof to each of the parties concerned, and retain a copy in the file. Where a party is absent at the time fixed for pronouncement of the decision, or, being present, refuses to accept a copy thereof, this fact shall be noted, and a copy of the decision shall be attached and sent to such party together with a notice.

[11]Inserted by the Act Amending Some Nepal Acts, 2082.

29. No Second Decision to Be Made:–

(1) Except where the High Court has issued an order under Section 30, once the arbitrator has rendered a decision on a matter entrusted to it, it shall not render a further decision on the same matter, except for correcting minor errors of a computational, clerical, typographical, or similar nature, or for including any omitted matter, without affecting the substance of the decision.

(2) Where a party considers that an error requiring correction exists in the arbitrator's decision as referred to in sub-section (1), such party shall, within thirty days from the date of receiving a copy of the decision, submit an application to the arbitrator, and, if the arbitrator considers it reasonable to correct such error or to include the omitted matter, it may, within fifteen days from the date of receipt of such application, prepare a separate memorandum and make the correction or inclusion. Where the arbitrator itself considers it appropriate to make such a correction, it may, within thirty days of the decision, prepare a memorandum, effect the correction, and notify the parties concerned.

(3) Notwithstanding anything contained elsewhere in this Section, where the arbitrator has not decided any matter among those claimed by a party, any party may, with the consent of the other party, within thirty days from the date of the decision, apply for a decision on such matter to the extent thereof, and, where such an application is submitted, the arbitrator may, within forty-five days of the filing of the application, render a supplementary decision confined to that extent.

(4) Where the parties consent, and any matter or part of the decision is unclear and requires interpretation, either party may, having given notice to the other party, request the arbitrator, within thirty days from the date of the decision, to interpret it, and, upon such a request being made, the arbitrator may, within forty-five days, interpret and clarify the unclear matter.

30. Decision May Be Set Aside:–

(1) A party dissatisfied with an arbitration decision made under this Act may, within thirty-five days from the date of hearing the decision or receiving notice thereof, submit an application to the High Court, together with the relevant documents and a copy of the decision, seeking to have it set aside, and shall also provide a copy of such application to the arbitrator and the party concerned.

(2) Where an application is filed under sub-section (1) and the applicant proves that the arbitration decision suffers from any of the following defects, the High Court may set aside such decision or order that a fresh decision be rendered as necessary:-

(a) that a party to the agreement was, for some reason, incapable of entering into the agreement at the time it was concluded, or that the agreement is not valid under the law to which the parties are subject or, where such law cannot be clearly ascertained, under the law of Nepal;

(b) that the applicant party was not given proper and timely notice of the appointment of the arbitrator or of the arbitration proceedings;

(c) that the decision concerns a matter not referred to arbitration, or is contrary to the terms of the matters referred to the arbitrator, or exceeds the scope of the matters so referred;

(d) that, except where the agreement is contrary to the law of Nepal, the constitution of the arbitral procedure or the conduct of its proceedings was not in accordance with the agreement made between the parties, or, where there was no such agreement, was not in accordance with this Act.

(3) Notwithstanding anything contained in sub-section (2), where an application is filed under sub-section (1), the High Court may set aside the arbitration decision in the following circumstances:-

(a) where the dispute decided by the arbitrator is of such a nature that it cannot be settled through arbitration under the law of Nepal;

(b) where the decision rendered by the arbitrator is contrary to public [12]..... policy.

(4) [13]While hearing an application filed under sub-section (1), the court shall not conduct the hearing in such a manner as to re-examine the evidence relied upon by the arbitrator.

31. Enforcement of the Decision:–

The parties shall enforce the arbitrator's decision within forty-five days from the date of receiving a copy of the decision.

32. Enforcement of the Decision by the Court[14]:–

(1) Where a decision cannot be enforced within the period referred to in Section 31, the party concerned may, within thirty days from the expiry of that period, submit an application to the District Court for enforcement of the arbitrator's decision, and, upon such an application being filed, the District Court shall enforce such decision as if it were its own judgment — ordinarily within fifteen days in the case of a decision rendered through fast-track arbitration, and within thirty days in the case of any other decision.

(2) After the commencement of this sub-section, the mere filing of an application under sub-section (1) of Section 30 shall not obstruct the enforcement of the arbitrator's decision.

(3) Notwithstanding anything contained in sub-section (2), where a party that has filed an application under sub-section (1) of Section 30 has also filed a separate application requesting that enforcement of the arbitrator's decision be stayed, the High Court may,

[12]Omitted by the Act Amending Some Nepal Acts relating to Improvement of the Economic and Business Environment and Enhancement of Investment, 2081.
[13]Inserted by the Act Amending Some Nepal Acts relating to Improvement of the Economic and Business Environment and Enhancement of Investment, 2081.
[14]Amended by the Act Amending Some Nepal Acts relating to Improvement of the Economic and Business Environment and Enhancement of Investment, 2081.

until such application is finally disposed of, issue an order staying enforcement of the arbitration decision in the following circumstances:-

(a) where the agreement or the arbitrator's decision appears, prima facie, to have been vitiated by corruption or fraud; or

(b) where it is substantially established that irreparable loss would be caused to the applicant.

33. Payment of Interest:–

Except as otherwise provided in the agreement, where the arbitrator's decision requires a party to pay any sum to another party, the arbitrator shall, having regard also to the nature of the business relating to the dispute, direct payment of interest at a rate not exceeding the rate currently applied by commercial banks in such transactions.

[15]Provided that, no interest shall accrue for the period from the day on which the process of appointing the arbitrator commenced until the expiry of the time by which the decision is required to be enforced under this Act.

34. Enforcement of a Decision Made Abroad:–

(1) A party wishing to have a decision made abroad enforced in Nepal [16]..... shall submit an application to the High Court, accompanied by the following documents:-

(a) the original, or a certified copy, of the arbitrator's decision;

(b) the original, or a certified copy, of the agreement;

(c) where the arbitrator's decision is not in the Nepali language, an official translation thereof into Nepali.

(2) Where Nepal is a party to any treaty concerning the recognition and enforcement of arbitration decisions made abroad, an arbitration decision made, after the commencement of this Act, in a foreign country that is likewise a party to such treaty shall, subject to the provisions of that treaty and any conditions stated by Nepal as a party thereto, be recognised and enforced in Nepal [17]..... in the following circumstances:-

(a) where the arbitrator was appointed and the decision was made in accordance with the law and procedure specified in the agreement;

(b) where the parties were given timely notice of the arbitration proceedings;

(c) where the decision was confined to the terms of the agreement or to the matters referred to the arbitrator;

[15]Amended by the Act Amending Some Nepal Acts, 2082.
[16]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.
[17]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

(d) where, under the law of the country in which the decision was made, such decision has become final and binding upon the parties;

(e) where there is no provision under the law of the country of the person applying for enforcement of the decision, or under the law of the country where the arbitration took place, which prevents enforcement of an arbitration decision made abroad in Nepal [18].....; and

(f) where the application for enforcement of the decision has been filed within ninety days from the date of the decision.

(3) Where, on an application filed under sub-section (1), the High Court is satisfied that the conditions set out in sub-section (2) have been fulfilled, it shall forward such decision to the District Court for enforcement.

(4) Notwithstanding anything contained elsewhere in this Section, a decision made abroad shall not be enforced in the following circumstances:-

(a) where the dispute settled by such decision is of such a nature that it cannot be settled through arbitration under the law of Nepal;

(b) where enforcement of such decision would be contrary to public policy.

Chapter-6
Miscellaneous

35. Expenses Relating to Arbitration Proceedings:–

(1) Except as otherwise specified in the agreement, the parties seeking arbitration shall pay the amount fixed by the arbitrator, after consultation with the parties present, for the conduct of the arbitration proceedings.

(2) Except as otherwise provided in the agreement, the expenses incurred in the arbitration proceedings shall be borne by each party in the proportion fixed by the arbitrator, having regard to the relevant circumstances.

36. Remuneration of the Arbitrator:–

(1) The arbitrator's remuneration shall be as specified in the agreement.

(2) Where the agreement does not specify the arbitrator's remuneration, the parties shall pay the remuneration fixed by the arbitrator after consultation with the parties present, and such remuneration shall be paid in full, or as an advance, as directed by the arbitrator after consultation with the parties present.

37. Arbitrator to Refund Amount:–

Where a dispute submitted to an arbitrator cannot be heard, or the arbitrator's position becomes vacant for any reason, and such arbitrator has already received remuneration

[18]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

under Section 36, the arbitrator shall, after deducting therefrom the amount corresponding to the period during which he/she worked, in consultation with the parties, refund the balance amount.

Provided that, where an arbitrator has been removed under Section 11, and he/she had received any remuneration prior thereto, he/she shall refund the entire amount of such remuneration.

38. Devolution of Rights and Liabilities:–

Where, after the commencement of arbitration proceedings under this Act, a party dies, disappears, or becomes insane, all of that party's rights and liabilities shall, under the prevailing law, devolve upon the person entitled to succeed to his/her property.

39. Court to Have No Jurisdiction:–

Notwithstanding anything contained in the prevailing law, except as otherwise provided in this Act, no court shall have jurisdiction over matters regulated by this Act.

40. Parties May Reach a Settlement:–

Where the parties to a dispute referred to arbitration under this Act wish to settle the dispute, they may submit an application to the arbitrator specifying the terms on which they wish to settle, and, upon such an application being filed, a consent decision of the arbitrator shall be rendered accordingly; no appeal shall lie against such decision except with respect to matters not in accordance with the consent.

41. Fee Payable for Enforcement:–

(1) Notwithstanding anything contained in the prevailing law, upon enforcement of the arbitrator's decision, a fee at the rate of 0.5 percent of the amount realised through such enforcement shall be paid to the court concerned as the fee for enforcing the decision; and, where the matter to be enforced does not relate to payment of an amount, and the value or amount can be determined according to the prevailing market rate of the matter to be done, or to be received, under the decision, a fee at the rate of 0.5 percent thereof, and, where such value or amount cannot be so determined, a fee of five hundred rupees, shall be paid by the party seeking enforcement of the decision.

(2) Where a party that has paid the fee under sub-section (1) wishes to recover it from the other party, the District Court shall cause it to be recovered as court fee under the prevailing law.

42. [19]Records Relating to Arbitration:–

(1) The arbitrator shall prepare, in chronological order, indicating the date and time, a file comprising all documents and evidence submitted by the parties, statements recorded

[19]Amended by the Act Amending Some Nepal Acts, 2064.

from the persons concerned, its decision, and all other documents relating to the arbitration.

(2) After the arbitration proceedings have become final, the arbitrator shall submit the relevant file to the District Court.

(3) The District Court shall keep the file so received in safe custody, in the same manner as it keeps the files of judgments rendered by it.

(4) Notwithstanding anything contained in the prevailing law, no copy of the arbitrator's decision, or of any document connected therewith, shall be provided to any person other than the parties without the consent of the parties.

43. Power to Frame Rules:–

The Supreme Court may frame such rules as are necessary to regulate the procedure for the work to be carried out by courts under this Act.

44. Repeal and Saving:–

(1) The Arbitration Act, 2038 (1981) is hereby repealed.

(2) In respect of an arbitration whose proceedings had already commenced before this Act came into force, the procedure of the Arbitration Act, 2038 shall continue to apply.

(3) The time limit for filing an appeal to set aside a decision made under the Arbitration Act, 2038, and the grounds for filing such an appeal, shall be as specified under the Arbitration Act, 2038.

Schedule
(Relating to Section 9)

Form of Oath

I/We hereby undertake that, in the dispute submitted before me/us for arbitration between ..... and ....., I/we shall act impartially and honestly, without inclining towards any party.

Name: _____ Signature: _____ Date: _____

Note: Words converted by the Administration of Justice Act, 2073: "High Court" in place of "Appellate Court".